

POL-FIN-003: Financial Systems and Payroll Separation of Duties Policy

Document Reference: POL-FIN-003 | **Version:** 2.1.0 | **Effective Date:** January 1, 2025 | **Classification:** Confidential - Financial & Compliance Standard

1. Statutory Authority, Regulatory Mandate, and Executive Control Framework

The preservation of corporate financial integrity, the protection of treasury liquidity, and the systematic mitigation of fraudulent disbursement risks represent non-negotiable statutory governance requirements under Sarbanes-Oxley Act (SOX) Section 404, Public Company Accounting Oversight Board (PCAOB) Auditing Standard No. 5, SOC 2 Type II Trust Services Criteria for Confidentiality and Privacy (Common Criteria 6.1 and 6.3), and international accounting standards. This policy establishes the formal regulatory framework governing authorization, dual custody, supervisory sign-off, and segregation of duties across enterprise financial disbursement platforms—specifically Vendor Payments (VENDOR_PAYMENTS) and Human Resources Payroll Management (HR_PAYROLL).

Internal financial accounting controls mandate that no single individual employee, regardless of title, seniority, or executive status, shall possess end-to-end operational authority to initiate, modify, approve, and execute monetary transfers, vendor master file changes, or payroll disbursements without independent multi-party verification. IT administrators, security analysts, and automated provisioning engines evaluating self-service access requests targeting financial systems must analyze all incoming payloads against the central entitlement registry and the operative control clauses defined within this document.

2. Vendor Disbursement Access Protocol (`VENDOR\_PAYMENTS`)

2.1 Operational Architecture and Entry Entitlements (`PAYMENT\_CREATE`)

The Vendor Payments platform (VENDOR_PAYMENTS) manages corporate accounts payable ledgers, electronic funds transfers (EFT), automated clearing house (ACH) batches, international wire disbursements, and vendor master profile databases. Operational capabilities within VENDOR_PAYMENTS are strictly bifurcated into transaction entry functions and final payment approval functions to maintain rigid internal accounting controls.

The payment creation entitlement (PAYMENT_CREATE) authorizes accounts payable specialists, procurement analysts, and financial operations analysts assigned to the Finance Operations department (Cost Center CC-FIN-12) to enter vendor invoices, create payment voucher batches, record credit memos, and update vendor remittance routing details. Self-service access requests for PAYMENT_CREATE submitted by verified personnel within CC-FIN-12 require direct manager sign-off from a Finance Operations manager, accompanied by documented business justification confirming active job responsibilities in accounts payable processing. Upon manager approval, PAYMENT_CREATE is provisioned on a standard ongoing basis subject to mandatory semi-annual access recertification campaigns. Requests for PAYMENT_CREATE originating from personnel outside Finance Operations must undergo secondary review by the Finance Controller.

2.2 Payment Release and Disbursement Approval Entitlements (`PAYMENT\_APPROVE`)

The payment approval entitlement (PAYMENT_APPROVE) grants financial controllers, accounts payable managers, treasury directors, and corporate officers the supervisory authority to review payment voucher batches, inspect underlying purchase order documentation, sign off on bank disbursement files, and authorize final outgoing funds transfers. Because PAYMENT_APPROVE represents the final supervisory barrier preventing unauthorized financial outflows, self-service requests for PAYMENT_APPROVE are subject to heightened authorization scrutiny requiring dual managerial sign-off and explicit secondary sign-off from the Finance Operations Controller.

2.3 Mandatory Separation of Duties: Vendor Payment Entry vs. Approval (SoD-FIN-01)

In compliance with SOX Section 404 internal control mandates and enterprise risk management policies, combining payment entry capability with payment release authorization within a single identity introduces critical fraud vulnerability. An individual possessing both permissions could generate fictitious vendor profiles, input fraudulent invoices, approve the payment voucher, and execute wire transfers without secondary oversight.

Specifically, **no individual employee may simultaneously hold both the payment creation entitlement (PAYMENT_CREATE) and the payment approval entitlement (PAYMENT_APPROVE) within VENDOR_PAYMENTS.** Any self-service access request that would result in an applicant holding both PAYMENT_CREATE and PAYMENT_APPROVE concurrently must be denied immediately by the IT administrator or automated access engine as an unmitigated Separation of Duties (SoD) conflict.

If a financial analyst currently holds an active PAYMENT_CREATE entitlement and submits a self-service request for PAYMENT_APPROVE (or vice versa), the system must evaluate the combined entitlement state against the central entitlement registry. If the pre-existing active entitlement is not formally relinquished and revoked prior to or concurrently with the new assignment, the request cannot be approved under any circumstances. Overriding an SoD-FIN-01 conflict requires an executive risk acceptance waiver signed by the Chief Financial Officer (CFO) and Chief Audit Executive, accompanied by mandatory full manual dual-key hardware approval workflows.

3. Human Resources Payroll System Access Protocol (`HR\_PAYROLL`)

3.1 Payroll Master Record Editing Entitlements (`PAYROLL\_EDIT`)

The HR Payroll platform (HR_PAYROLL) controls employee compensation master ledgers, base salary rates, hourly wage figures, bonus allocations, commission calculations, tax withholdings, and direct deposit routing numbers. The payroll modification entitlement (PAYROLL_EDIT) authorizes payroll specialists and compensation analysts to update employee salary figures, input wage adjustments, record tax exemption changes, and process recurring payroll modifications.

Self-service access requests for PAYROLL_EDIT submitted by authorized payroll operations staff require operational manager sign-off and HR compliance verification. Approved access is provisioned on a standard ongoing basis subject to mandatory quarterly access certification campaigns.

3.2 Payroll Batch Release and Funding Approval Entitlements (`PAYROLL\_APPROVE`)

The payroll funding approval entitlement (PAYROLL_APPROVE) authorizes senior compensation directors, payroll controllers, and corporate treasury officers to approve final payroll funding calculations, execute payroll bank drawdowns, and authorize distribution of electronic paychecks to clearinghouse banks. PAYROLL_APPROVE represents the ultimate financial release valve for corporate payroll expenditure.

3.3 Mandatory Separation of Duties: Payroll Edit vs. Funding Approval (SoD-FIN-02)

To prevent unauthorized self-compensation modifications, fictitious employee payroll setup, unapproved salary increases, or fraudulent payroll funding releases, the enterprise enforces strict segregation of duties between payroll record entry and payroll release authorization.

Specifically, **no individual employee may simultaneously hold both the payroll editing entitlement (PAYROLL_EDIT) and the payroll approval entitlement (PAYROLL_APPROVE) within HR_PAYROLL**. Any self-service access request that would result in a requester holding both PAYROLL_EDIT and PAYROLL_APPROVE concurrently must be denied immediately as a critical Separation of Duties (SoD) conflict.

If a payroll specialist currently holds active PAYROLL_EDIT privileges and requests PAYROLL_APPROVE (or vice versa), the access engine must flag the request as an SoD violation and block provisioning unless the prior entitlement is surrendered. Exceptions require CFO sign-off and mandatory 100% post-payroll transaction audit by external auditors.

4. Audit Trail Generation, Telemetry, and Recertification

All entitlement changes, approval decisions, denials, and role modifications across VENDOR_PAYMENTS and HR_PAYROLL generate immutable, append-only audit log entries recording the timestamp, requester identity, cost center, approving manager ID, and statutory compliance justification. Internal Audit conducts monthly sampling of all financial role assignments to verify continuous control operation.

5. Supplementary Accounting Guidelines and Auditing Mandates

Operational department leads must maintain strict documentary evidence for all financial access authorizations. In accordance with PCAOB standards, every vendor payment batch creation (PAYMENT_CREATE) must be supported by an approved purchase order and matching receiving report (three-way matching rule). Any automated access request engine evaluating financial system access must verify that the requester's cost center matches Finance Operations (CC-FIN-12) or executive finance management. Requests for financial transaction permissions originating from non-finance units must be flagged for manual compliance review.

Furthermore, payroll adjustments processed under PAYROLL_EDIT must undergo independent post-payroll audit verification by the HR Compliance Lead. If a payroll specialist submits an access request seeking elevated compensation modification permissions, the provisioning service must log the request to the high-risk security monitoring queue.

6. Policy Revision History

Version	Date	Author / Title	Summary of Changes
1.0.0	2021-04-10	Internal Audit Group	Initial release of financial dual control policy.
2.0.0	2023-09-18	Office of the CFO	Updated SOX 404 compliance rules and added `PAYROLL_EDIT` SoD constraints.
2.1.0	2025-01-01	Global Compliance Committee	